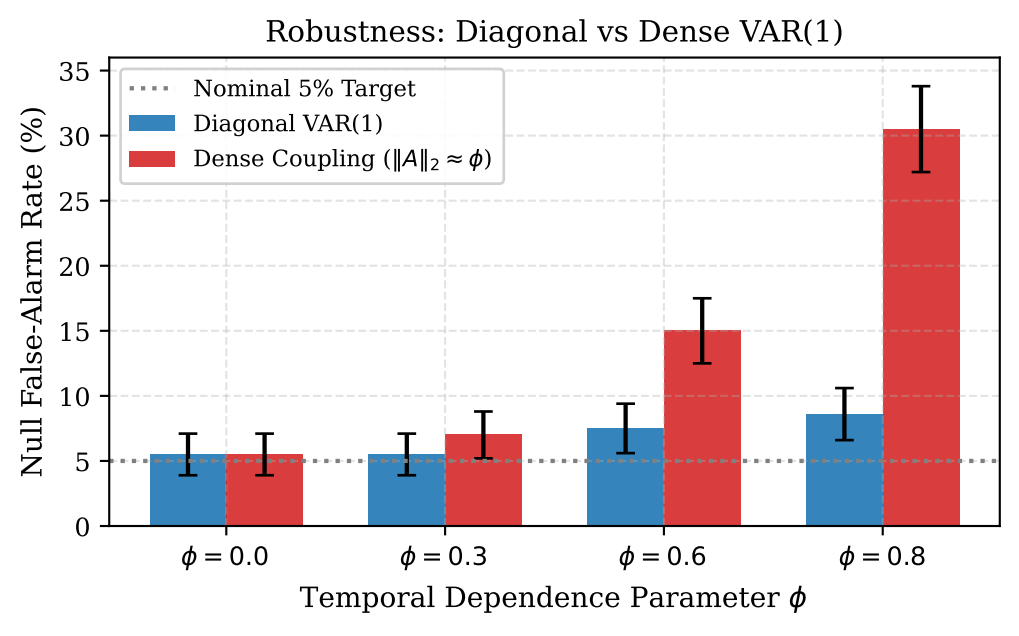
Robustness: Diagonal vs Dense VAR(1)
Nominal 5% Target
Diagonal VAR(1)
Dense Coupling ($\|A\|_2 \approx \phi$)
Null False-Alarm Rate (%)
0
5
10
15
20
25
30
35
$\phi = 0.0$
$\phi = 0.3$
$\phi = 0.6$
$\phi = 0.8$
Temporal Dependence Parameter ϕ